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Chapter 4

Currency



Introduction To Currency In General Ledger

To access the facilities to set up and maintain Currency details, select the GL Currency options. Currency enquiry and report options are also available.

You can process sales and purchase orders and invoices in any currency, with consequential postings to Accounts Receivable and Accounts Payable. Bank accounts may be held in any currency, each account receiving cash and making payments in its own currency or in any other currency. You can post transactions and hold accounts with currency balances in several currencies within General Ledger, and translate ledger balances into other currencies within the company consolidation option.

Currency and exchange rate records for use throughout System 21 are created and held within the General Ledger.

System 21 currency options are Euro compliant.

Exchange Differences

Realised Currency Gain/Loss

The profit or loss made when the invoice, or other document was posted at one rate, and subsequent payment was made or received at a different rate.

An example of this would be:

- A purchase invoice of 1000.00 @ 7.5=7500.
- A supplier payment of 1000.00 @ 6.8=6800.
- The base currency difference=700.

Translation Gain/Loss

A difference may be created when accounts in one company are translated into another company's accounts using different exchange rates during the company consolidation process. Typically, the difference will occur when profit and loss balances are valued at a mid-month conversion rate and balance sheet balances are revalued at an end-of-month rate.

The total in the example that follows represents a currency loss of (140.35):

Shareholders funds	(18,800.00)	1.5	(12,533.33)
Bank a/c	5,800.00	1.5	3,866.67
Net debtors/creditors	14,000.00	1.5	9,333.33
Sales	(22,000.00)	1.9	(11,578.95)
Cost of Sales	14,000.00	1.9	7,368.42
Overheads	7,000.00	1.9	3,684.21
Translation Variance	0.00		(140.35)

Further Detailed Analysis

Unrealised Currency Gain/Loss

A potential profit or loss occurs when, for example, an invoice is posted at a rate of 7.5. With the debt outstanding and a rate change to 6.8 there is an unrealised gain of 700.00.

This unrealised gain/loss is calculated when processing currency revaluation, and may be posted to GL accounts during the revaluation run. Any unrealised gain/loss posted for a particular invoice is reversed out when the invoice is paid, as the realised gain/loss is then calculated.

Currency Trading Account

A separate General Ledger account is used as a system maintained suspense account, to provide a control for transactions where there are two different transaction currencies. This is typically, where cash is received in one currency and paid into a bank account in a different currency.

For example, as 10,000.00 AAA received from a customer at 2.5(D) to base, paid into a BBB bank account at 0.8(D) to base. Two General Ledger postings are created:

	Account	Currency	Value	Base value
1	Debtors	AAA	(10000.00)	(40000.00)
	Curr. Trading	AAA	100000.00	40000.00
2	Bank	BBB	3000.00	3750.00
	Curr. Trading	BBB	(3200.00)	(4000.00)
	Realised Loss	BBB	200.00	250.00



Note: The net balance in base on the currency trading account is now zero.

Multi-Currency Procedures

Currency Descriptions

Use this procedure to create a code to represent each currency in which you expect to trade or keep bank accounts. This includes your own base currency. These currencies are then available for each multi-currency application in each company linked to this General Ledger. (Exchange rate codes and exchange rates are maintained separately.)

Rate Code Descriptions

A rate code is created to point to a table of exchange rates for currency conversions within different dates. A rate code may encompass several currencies and be valid for a wide range of dates or periods.

You may only require a single rate code, covering all the currencies and exchange rates you wish to use. You can then update the rates within this single rate code as required.

Alternatively a separate rate code may be created and applied to individual applications as a default.

Currency Rates

For each rate code, you need to set up exchange rates for each pair of currencies for which conversion or translation may be required.

You will almost certainly need rates between each transaction currency and base currency.

Currency Gain And Loss Accounts

When dealing with multi-currency transactions, movements in exchange rates will create exchange gains and losses. This procedure enables General Ledger accounts to be defined, both for realised and unrealised gains and losses, for each application/company/currency combination. (If this level of detail is not required, global accounts may be defined to cover all applications/ companies and currencies.)

Currency Revaluation

Currency exchange rate fluctuation results in ledger items and balances held on the financial ledgers potentially having different base values to when they were first created. This procedure enables you to recalculate the base value of currency balances using the prevailing exchange rates. Differences can be automatically posted to the defined unrealised currency gains and losses' accounts.

International Standard Currency Codes

Selected Currency Codes in Alphabetical Sequence					
CODE	CURRENCY	COUNTRY	CODE	CURRENCY	COUNTRY
AED	UAE Dirharn	U.A.E.	ITL	Italian Lira	Italy
ARA	Austral	Argentina	JMD	Jamaican Dollar	Jamaica
ATS	Schilling	Austria	JOD	Jordanian Dinar	Jordan
AUD	Australian Dollar	Australia	JPY	Yen	Japan
BBD	Barbados Dollar	Barbados	KES	Kenyan Shilling	Kenya
BEF	Common Belgium Franc	Belgium	KWD	Kuwaiti Dinar	Kuwait
BHD	Bahraini Dinar	Bahrain	LBP	Lebanese Pound	Lebanon
BMD	Bermudian Dollar	Bermuda	LUF	Luxembourg Franc	Luxembourg
BRN	New Cruzado	Brazil	LYD	Libyan	Libyan Arab Jamahiriya
BSD	Bahamian Dollar	Bahamas	MAD	Moroccan Dirham	Morocco
BUK	Kyat	Burma	MWK	Kwacha	Malawi
CAD	Canadian Dollar	Canada	MXP	Mexican Peso	Mexico
CHF	Swiss Franc	Switzerland	MYR	Malaysian Ringgit	Malaysia
CLP	Chilean Peso	Chile	MZM	Metical	Mozambique
CNY	Yuan Remnimbi	China	NGN	Naira	Nigeria
CSK	Koruna	Czechoslovakia	NLG	Netherlands Guilder	Netherlands
DEM	Deutsche Mark	Germany	NOK	Norwegian Krone	Norway
DKK	Danish Krone	Denmark	NZD	New Zealand Dollar	New Zealand
DZD	Algerian Dinar	Algeria	PDR	Pakistan Rupee	Pakistan
ECU	European Currency Unit	European Community	PLZ	Zloty	Poland
EGP	Egyptian Pound	Egypt	PTE	Portuguese Escudo	Portugal
ESP	Spanish Peseta	Spain	SAR	Saudi Riyal	Saudi Arabia
FIM	Markka	Finland	SEK	Swedish Krona	Sweden
FRF	French Franc	France	SGD	Singapore Dollar	Singapore
GBP	Pound Sterling	United Kingdom	SYR	Syrian Pound	Syrian Arab Republic
GHC	Cedi	Ghana	SUR	Rouble	Russia
GRD	Drachma	Greece	THB	Baht	Thailand
HKD	Hong Kong Dollar	Hong Kong	TRL	Turkish Lira	Turkey
HUF	Forint	Hungary	TWD	New Taiwan Dollar	Taiwan
IDR	Rupiah	Indonesia	USD	US Dollar	U.S.A.
IEP	Irish Pound	Ireland	VEB	Bolivar	Venezuela
ILS	Shekel	Israel	ZMK	Kwacha	Zambia
INR	Indian Rupee	India	ZRZ	Zaire	Zaire
IQD	Iraqi Dinar	Iraq	ZWD	Zimbabwe Dollar	Zimbabwe
IRR	Iranian Rial	Islamic Republic of Iran			

Currency Rates Maintenance



1/GLX

Set up one or more pairs of exchange rates for every rate code, for which conversion or translation is required. You will almost certainly need rates between each transaction currency and your base currency, or bank currency and base currency, or to consolidate/translate between two General Ledger companies.

Euro Conversion Rates

The fixed exchange rates between the currencies of all EU Member States which have opted to join the Euro single currency (INs) and the Euro currency itself, must be defined identically on each rate code table used. The conversion must be defined with the Euro as the source and the IN currency as the target, with the modifier set to multiply.

Conversion between IN currencies will be made by converting the source currency value to a Euro currency value, and then converting the Euro currency value to the target currency value. This is known as triangulation.

Where conversion is required between currencies that are both outside of the Euro the exchange rates will be defined as a direct conversion rate, with the modifier set to multiply or divide as appropriate. There will be no reference to the Euro currency in these conversion calculations.

Where conversion is required between currencies that are outside of the Euro (OUT) and those which are IN, the definition of exchange rates will depend on the setting of the Rate To Euro flag in the Euro Currencies maintenance option.

The following is a guide:

If the Rates To Euro field is set to 1:

- You must define rates from the Euro currency to all the required OUT currencies, with a modifier to multiply.



Note: Fixed rates are defined in the system from Euro to IN currencies.

This setting is mandatory for all EU member states, and optional for companies outside the EU.

If the Rates To Euro field is set to 0:

- You must define direct rates from OUT currencies to IN currencies or, from IN currencies to OUT currencies, with the appropriate modifier to multiply or divide.
- You must define direct rates from OUT currencies to OUT currencies, with the appropriate modifier to multiply or divide.

Eurocurrency: Phase 1 Illustration Of Conversions

Examples of Exchange Rates:

Source	Target	Exchange Rate	Modifier
EUR	FRF	8.000000	M
FRF	GBP	10.000000	D
USD	GBP	1.650000	D
EUR	USD	1.775000	M
EUR	GBP	0.855000	M
FRF	USD	4.50704	D
DEM	GBP	2.951500	D
DEM	USD	1.797500	D
FRF	DEM	2.621420	D
EUR	DEM	3.000000	M
EUR	ITL	2,440.00	M

1. Where the source currency is IN and the Target currency is also IN.

Source Currency (IN)		Target Currency (IN)
FRF 10,000	FRF Converted To EUR @ Fixed Rate 8(Divide) = EUR 1,250.	EUR Converted To DEM @Fixed Rate 3 (Multiply) DEM 3,750



Note: No Overrides are allowed as the currencies involved are both IN currencies.

2. Where the source currency is IN and the Target currency is Euro.

Source Currency (IN)		Target Currency (EUR)
FRF 10,000	FRF Converted To EUR @ Fixed Rate 8(Divide) = EUR 1,250	EUR 1,250



Note: No overrides are allowed as the currencies involved are an IN currency and the Euro.

3. Where the source currency is Euro and the Target currency is IN.

Source Currency (EUR)		Target Currency (IN)
EUR 1,250	EUR Converted to FRF @ Fixed rate 8(Multiply)	FRF 10,000



Note: Overrides are not allowed as the currencies involved are the Euro and an IN

currency.

4a. Where the source currency is IN and the Target currency is OUT and Rate To Euro is set to 1.

Source Currency (IN)		Target Currency (OUT)
FRF 10,000	FRF Converted to EUR @ Fixed rate 8(Multiply) = EUR 1,250.	EUR Converted to USD @ Variable rate 1.775
		USD 2,218.75



Note: Override is allowed for the variable rate from EUR to USD with modifier = M(Multiply).

4b. Where the source currency is IN and the Target currency is OUT and Rate To Euro is set to 0.

Source Currency (IN)		Target Currency (OUT)
FRF 10,000	FRF Converted to USD @ Direct rate 4.50704 (Divide)	USD 2,218.75



Note: Override is allowed for the direct rate from FRF to USD with modifier = D (Divide).

5a. Where the source currency is OUT and the Target currency is IN and Rate To Euro is set to 1.

Source Currency (OUT)		Target Currency (IN)
USD 2,218.75	USD Converted to EUR @ Variable rate 1.775 (Divide) = EUR 1,250	EUR Converted to FRF @ Fixed rate 8.000 (Multiply)
		FRF 10,000



Note: Override is allowed for the variable rate from USD to EUR with modifier = D (Divide).

5a. Where the source currency is OUT and the Target currency is IN and Rate To Euro is set to 0.

Source Currency (OUT)		Target Currency (IN)
USD 2,218.75	USD Converted to FRF @ Direct rate 4.50704(Multiply)	FRF 10,000



Note: Override is allowed for the direct rate from USD to FRF with modifier = M.

6. Where the source currency is OUT and the Target currency is OUT.

Source Currency (EUR)	Target Currency (OUT)
-----------------------	-----------------------

USD 2,218.75

USD Converted to GBP @
Direct rate 1.65 (Divide).

GBP 1,344.70



*Note: Override is allowed for the direct rate from
USD to GBP with modifier = D(divide).*

Conversion Rules Using Rate Codes Examples

Assume that you have a base currency and three prime currencies, numbered 1, 2 and 6.

Assume the following:

- To convert prime currency 1 to base you must multiply by 3.5.
- To convert prime currency 2 to base you must multiply by 1.8.
- No rate is defined for prime currency 6.

The following rules apply:

If A Rate Is Defined

If a rate is defined, use that rate.

500.00 in prime currency 1, to be converted to base.

$500.00 \times 3.50000 = 1750.00$ base.

If A Rate Is Not Defined

If no rate is defined, is there a rate in the opposite direction? If so, use the reciprocal rate.

700.00 in base, to be converted to prime currency 2.

No direct rate available, so $700.00 / 1.8 = 388.89$ prime currency 2.

If There Is No Direct Route

If a rate can be derived via the base currency, then this will be used.

1000.00 in prime currency 1 is to be converted to prime currency 2.

No direct or reciprocal route is available.

1000.00 prime currency 1 $\times 3.5 = 3500.00$ in base currency.

There is no direct route to convert base to prime currency 2, so 3500.00 base $/ 1.8 = 1944.44$ prime currency 2.

If There Is No Available Route

An error condition would exist. In this case, an override rate could be entered.

150.00 in prime currency 6 is to be converted to base. There is no possible route, so an override rate is required.

$150.00 \times 0.76 = 114.00$, or

$150.00 / 1.3158 = 114.00$

Maintain Currency Conversion Rates Screen

1

Select an existing rate code that was created at the Rate Codes Maintenance option. You will then select to view exchange rates used in a selected period.



Select the GL option to maintain Currency Rates.
Select the rate code from the fields displayed.

Fields:

Rate Code

Enter a rate code (of up to four characters in length) to set up each of the currency exchange rates to be used when the rate code is selected.

Effectivity Start Date Or Start Period

This field is either a date or period. This depends on the exchange rate being defined as a daily or periodic table.



Note: The Effectivity Type (P or D) is set up in Rate Codes Maintenance.

Enter the start date or period from which you want the currency rate to become effective. You should use the format YYPP if the effectivity type is periodic.



Note: When amending currency rates, only those which were originally entered with an effective date on or prior to the date requested will be displayed. To display all the rates for a given code, enter today's date or an earlier date.



Press **Enter** and a list of exchange rates that apply from the effectivity date will be displayed.

Maintain Currency Conversion Rates Screen

2

Maintain your currency conversion exchange rates to be effective from the date or period selected at the first screen. The source and target currency and exchange rate are added for the selected rate code. You must also add if the rate is to be multiplied or divided for the conversion.



Complete Maintain Currency Conversion Rates Screen 1 and press **Enter** to display this screen.

```

GL802                FF:Eurocurrency Test Company(GBP4)  USER GBJBA1MS  27/05/98

Maintain currency conversion rates

Rate code . . . . . :  GENL                      Rates effective at : 9805

1  Source  Target    From    To      Rate  M/D
-   EUR    IRP       9804    9999     .987505  M
-   EUR    ITL       9802    9999    2374.297500  M
-   EUR    USD       9804    9999     1.411110  M
-   FRF    DEM       9804    9999     1.123456  D
-   FRF    GBP       9802    9804     9.036050  D    *EXPIRED
-   FRF    USD       9804    9999     5.476550  D
-   GBP    USD       9805    9999     1.649950  M
-   IRP    DEM       9802    9999     1.987650  M
-   IRP    GBP       9802    9999     1.215050  D
-   ITL    DEM       9802    9999    1152.395350  D
-   ITL    FRF       9802    9999    323.591550  D    +

Add or update rate:-
      9805      0000      .000000  -

1=Display rate code history
F3=Exit      F4=Prompt      F12=Previous

MA  a                                                    21/008
  
```

Fields:

No Rates Set Up Yet - Enter The First Below

This message displays when you add currencies to a rate code for the first time.

Add Or Update Rate

Add new currency exchange rates.

Source Currency

Enter the currency code of the currency from which the conversion is to be made.

Target Currency

Enter the currency code of the currency to which the conversion is to be made.



Note: The Currency Codes must already exist, having been set up at the Currencies Maintenance option.

From

Enter the first date or period that the exchange rate is to take effect. For a period use the format YYPP.

To

Enter the date or period when the exchange rate is to expire. If the exchange rate is to run for the future you could enter 9999 for periods and 999999 for dates.

Exchange Rate

Enter the rate for converting values held in the source currency to the target currency.

Enter up to five decimal places for currencies that are OUT of the Euro. Enter up to six decimal places for currencies that are IN the Euro zone.



Note: It is only at this screen that the six decimal places are visible. If six is used it will be truncated to five at other screens in System 21 where an exchange rate is displayed or entered.



Note: The number of decimals entered at this option is for conversion calculation only. Currency values display, throughout your application, with the number of decimals set up in the Currency Maintenance option.

Multiply Or Divide

M - Multiply the values held in the source currency by the exchange rate to achieve the target currency value.



Note: When converting from the Euro to target IN currencies you must use multiply here. No override of these rates will be permitted at other screens.

D - Divide values held in the source currency by the exchange rate to achieve the target currency values.



Press **Enter** and the new currency rate is updated or added to the listing on the currency conversion screen.

Maintain Currency Conversion Rates Screen 3

Select existing currencies for amendment, or add a new currency at this screen.



Select a line with 1 to display the historical rates or exit the screen with **F12=Previous** or **F3=Exit**.



Note: Enter 9999 in the To field for indefinite effectivity. The reciprocal conversion rate would effectively make the source currency the target and the target currency the source.



Enter 1 against a currency conversion rate line to display a window showing the rate code history.

Rate Code History Window

This window displays the rate, source and target currencies and lists the changes made to the rate code over the period selected.



Enter 1 against a line at the Currency Conversion Rates Maintenance Screen to display this window.

```
GL002                Y9 - Education Company - Y9      USER FFV9      22/06/95
                                           12:36:29
Maintain Currency Conversion Rates      Rates effective at . 94-11
                                           Rate Code . . . . . PERD

  Rate Code History
  Rate Code . . PERD Period Rates
  Source Curr. . USD US Dollars
  Target Curr. . GBP POUNDS STERLING

  From      To      Rate      |      From      To      More:
  94-01     99-99     1.49000 D      |
                                           Rate

  F12=Previous

Add or update rate:-
  █      █      94-11      █      █      █      D

1=Display rate code history
F3=Exit   F4=Prompt   F12=Previous
13-05     SF         MK         KS         IM         II     EDN400A  PCET02S3
```

Each time a conversion rate is changed the alteration is recorded on the system. The movement history is displayed in descending date sequence and you can use page up and down to display additional lines.



Return to the previous screen with **F12=Previous**.

Rate Codes Maintenance

1... **2/**GLX

A rate code is created to hold a set of exchange rates between currencies. It is not necessarily specific to a currency.

A single rate code that covers all the currencies and exchange rates you wish to use may be all you need; and you can update the rates within this single rate code when required.

For example, you may choose to set up a rate code that contains the standard translation rates for each accounting period, or a set of rate codes by application, one for Cash Management transactions, one for Accounts Receivable transactions, one for Revaluation or Company translation, and so on.

You must enter a default rate code on the company profile for each application, and it will be displayed on screens where the exchange rate is required. Different default rate codes may be set up for each individual application.

Default exchange rates may be overridden.



Note: Exchange rate codes are not mandatory in all multi-currency procedures since you can enter an actual exchange rate, instead of a code, for every transaction. This is not recommended where there are lots of transactions to process because of the risk of error.

Rate Code Maintenance Screen

A list of the rate codes currently on the system displays on this screen. Select one of the rate codes to maintain, or enter the name of a new one to be created. The rate code may be up to four characters in length, and once created cannot be changed.



Select the GL (currency) Rate Code Descriptions option.

Fields:

Rate Desc.

Enter a description for the rate code of up to 35 characters in length.

Eff Type

Effectivity type. This field controls whether, when you set up exchange rates, you wish to enter their effectivity as a calendar date or as an accounting period.

D - Calendar date.

P - Accounting period.

The actual effectivity dates are entered when you set up the exchange rates themselves.



Press **Enter** to accept, and the new rate code will be displayed in the list of rate codes already present.

Currencies Maintenance

1...
2...

3/GLX

This procedure is used to set up descriptions for each currency in which you expect to trade or intend to keep bank accounts, including your base currency and the Euro if relevant. These currencies will, therefore, be available for each multi-currency application in each company linked to the General Ledger company in which the rates have been defined.

Currency Maintenance Selection Screen

Displays existing currency details for you to select for maintenance, or you can add a new currency.



Select the GL maintenance option to maintain Currencies. A list of existing currencies displays.

Fields:

1 (Select)

1 - Select a currency for maintenance. You can maintain all details except the code itself.

2 - Display the language descriptions for this currency. This facility is available only if you have Inventory installed on your system.

Code To Maintain Or Add

Add a new currency by entering the new code here.



Press **Enter** if you are adding a currency (there is no need to press **Enter** if you selected an existing currency with 1 or 2). If you are adding a currency, or if you selected an existing one with 1, then you will see the Currency Description Maintenance Screen.

Currency Description Maintenance Screen

You can add new currencies at this screen or maintain an existing currency. The screen displays existing currency details. The standard and short description can be changed together with the smallest unit, decimal places and movement % allowed.

Once the currency is set up you are free to amend or create further currencies, and to maintain rates against them.



Select a currency to maintain by entering 1 at the Currency Maintenance Screen.

GL800		CG - Carlisle Group		USER GBJBA1MS	20/05/98
Currency Maintenance					08:25:04
1 Cde	Description	Short desc	Smallest unit	No. dec	Movement %
- DEM	Deutsche Mark, Germany	D.Mark	.01	2	.00
- EUR	Euro	Euro	.01	2	.00
- FRF	French Francs	F.Francis	.05	2	10.00
- GBP	Sterling	Sterling	.01	2	10.00
- IEP	Irish Pound	Ir.Punt	.01	2	.00
- NFL	Netherland Florins - Guilders	Dutch Fl	.01	2	20.00
- USD	U.S. Dollars	U.S.Dollar	.01	2	10.00
Code to maintain or add					
1=Select					
F3=Exit					
NA	a	21/004			

Fields:

Select

- 1 - Select an existing currency for maintenance.
- 2 - The Multi-Lingual Descriptions Maintenance window displays to enable you to enter currency descriptions in various languages.



Note: To use the multi-lingual facility you must have the Inventory module installed.

Currency Description

Enter a full description for the currency.

Short Description

Enter a short description for the currency. The description will appear in the majority of screens and reports.

Smallest Unit

Enter a value for the smallest unit of the specified currency.

For example, for US dollars cent would be specified as 0.01, and the smallest unit of the Japanese yen is 1 yen and this would be specified as 1.00

No. Dec

Enter the number of decimals to express the currency.

Movement %

Enter the percentage of variation you are prepared to accept in the exchange rate fluctuation between currencies.

Some currency exchange rates fluctuate wildly whereas others vary within a much smaller band. The movement % field allows you to specify a single plus/minus percentage for the exchange rate variation. Movements outside this range will cause a warning to be issued when exchange rate information is entered during maintenance only. No warning is given when overrides are made during processing.



Press **Enter** to add or amend the currency description record.

Gain And Loss Accounts Maintenance

1...
2...

4/GLX

With multi-currency transactions, movements in exchange rates will create exchange gains and losses. This procedure enables the General Ledger accounts to be defined for each application, company and currency both for realised and unrealised gains and losses.

Maintain Currency Gain And Loss Accounts

Screen 1

The first time this procedure is used, set up default accounts for all applications, companies and currencies. It is important that these generic accounts are entered correctly, as they cannot be modified without assistance from your software supplier.



Select the GL Currency option to maintain Gain And Loss Accounts.

Fields:

Application

Leave blank for all applications (or modules). If you do so, the other two fields must also be left blank. Otherwise, enter one only of the following:

CS - Cash Management.

GL - General Ledger.

PL - Accounts Payable.

SL - Accounts Receivable.

WT - World Trade.

Company

If an application code has been entered, enter a valid company code for that application. If left blank, the account applies to all companies linked to this General Ledger and the currency code must also be left blank.

Currency..?

If a company code has been entered, you may also enter a valid currency code.



Press **Enter** to go to the Currency Gain And Loss Accounts screen.

Maintain Currency Gain And Loss Accounts Screen 2

Add your GL accounts for gain and loss values. You can create realised and unrealised gain and loss accounts depending on the application. For GL and CS applications, only realised gain and loss accounts are allowed.



Press **Enter** at the first Maintain Gain Loss Accounts screen to display this screen.

GL060	Z1 - GB Demonstration Company	USER GBJBA1MS	16/12/97
			13:46:35
Maintain Currency Gain & Loss Accounts			
Application . . . : GL			
Company : Z1			
Currency : FRF			
Realised gain account . . . ? 66501			
Realised loss account . . . ? 666501			
F3=Exit F4=Prompt F12=Previous			
10-32	SA	MW	KS CL IM DM II STUD140 KB PKH312S1

Fields:

Realised Gains Account

This account and the next one may be the same. They must be fiscal profit and loss accounts. (The contra value is included in the appropriate control account.)

Realised Loss Account

This account may be the same as the previous one. This is not recommended under normal circumstances. They may be either balance sheet or profit and loss, and either fiscal or memo, but both must be of the same type. They may be the same as the realised accounts.

Contra Account (Unrealised)

This must be a balance sheet account, and different from the gains and losses accounts, but of the same type (fiscal or memo).

The contra account will hold the net difference between the unrealised gain and the unrealised loss.



Warning: Do not allocate the realised accounts and the unrealised accounts the same account number. The unrealised

gain/loss accounts are flagged as post inhibited with G. If you use the same account for realised gain/loss, you will encounter problems posting from suspense in Cash Management and cash allocation in Accounts Receivable.

Default Bank Accounts Maintenance



5/GLX

The purpose of setting up default bank accounts is to tie payments in a specific currency back to chosen accounts that reside in a Cash Management company.

If a default bank account is not specified for a particular currency, or customer/supplier, the system will go to your company profile to retrieve a default bank account.



Select the GL currency option Default Bank Accounts.

Change Default Bank Account Window

Use this option to select an existing GL bank account code as a default for payments in the selected currency. Leave the default field blank for the existing bank account set up in your company profile to take effect.



This window displays when a currency line is selected with 1 at the Maintain Default Bank Accounts first screen.

GL840	Z1 - GB Demonstration Company	USER GBJBA1MS	16/12/97 15:16:31
Maintain Default Bank Accounts			
Cash Mgmt	Currency	Default	Bank Account
1	GH	CR	Dodgy
-	GH	CSK	CSK
1	GH	DEM	Dmark
-	GH	DFL	Guilders
-	GH	EAM	eam
-	GH	ESC	Escudos
-	GH	ESP	Peseta
-	GH	FRB	B-Francis
Change Default Bank Account			
Currency DEM Dmark			
Cash Mgmt Company . . . GH CSU			
Default Bank Account . ?			
(If left blank and no Supplier default bank account exists, the Cash Mgmt company profile bank Account 512100 will be used for payments in this currency.)			
Posit			
1=Amc F4=Prompt F12=Previous			
F3=Exit F4=Prompt			
18-35 SA MW KS CL IM DM II STUD140 KB PKH312S1			

Fields:

Default Bank Account

Enter a GL account code for payments in the currency.



Press **F8=Confirm** to update the currency default bank account.

Euro Currencies

1...
2...

6/GLX

Use this option to set up the currency code that will represent the Euro currency on the system.

You must record all the currencies that have joined, or are intending to join, the Euro zone. Against each currency (INs) the joining date and period are entered.

Any code can be used to identify the Euro currency, for example, EUR, although there is no international standard as yet.

Euro Currency Maintenance Screen 1

At this screen define whether the conversion between Euro IN to OUT or OUT to IN currencies is to be calculated via the Euro or directly. Conversion via the Euro is known as Triangulation. Triangulation is mandatory or optional as follows:

Source Currency	Target Currency	Conversion	
IN	IN	Triangulation must be used.	
IN OUT	OUT IN	Optional use of triangulation.	For companies in countries outside of the EU.
IN OUT	OUT IN	Triangulation must be used.	For companies in countries inside the EU.

The Rates To Euro field, on this screen, is a key field. It sets the conversion of IN/OUT currencies to use either triangulation or to be converted directly from source to target.

The Euro Roundings field on this screen is used for the posting of rounding differences, created when converting between IN currencies, to a designated GL account.

Separate accounts can be entered here to segregate Rounding Debit and Rounding Credit values, or a single account could be used for both types.



Select the General Ledger maintenance option
Euro Currencies to display the selection screen.

```

GL803          EW:Eurocurrency Test Company(DEM)  USER GBJBA1MS  20/05/98
                                           11:25:16

Euro Currency Maintenance

Euro currency code . . . . . ? EUR European Currency Unit
Rates to Euro? . . . . . 0 (0/1)
Euro roundings? . . . . . 1 (0/1)
Rounding DR account . . . . . ? 906000
Rounding CR account . . . . . ? 908000

F3=Exit      F4=Prompt

MA  a                               MW                                05/033
  
```

Fields:

Euro Currency Code

Enter the three-character code to identify the Euro currency to your System 21 applications.

Rates To Euro

0 - No Triangulation. Conversion will not be via the Euro currency for IN to OUT or OUT to IN currencies. Exchange rates will be converted directly between source and target currencies. This is not an option for countries that have opted IN.

1 - Triangulation Is Used. Conversion from the source currency to the target currency (IN to OUT or OUT to IN) will be via the Euro currency. This setting is mandatory for countries that have opted IN, but optional for others.

Once set, the setting at this field should not be changed.



Note: Triangulation, making use of an intermediate Euro value, when converting between an IN and OUT currency is recommended by the EU accounting body (FEE) for a company based in an IN country. It is optional for other countries.

Euro Roundings

0 - Specific General Ledger Roundings accounts are not required to hold rounding differences resulting from conversions between IN currencies.

1 - You are using Fiscal GL Euro Roundings accounts for posting rounding differences resulting from conversions between IN currencies.

Rounding DR Account

You must enter a valid General Ledger account, if you entered 1 at the previous field Euro Roundings. Debit rounding differences resulting from conversion between IN currencies will be posted to this account.



Note: If you do not wish to segregate rounding debits and credits, you can enter the same account in both fields.

Rounding CR Account

Credit rounding differences as a result of conversion between two IN currencies are posted to this account. See note in previous field.



Press **Enter** to accept the screen entries and to display the Euro Currency Maintenance Screen 2.



If you use extensions to your account codes the GL Extensions window(s) display. Enter to accept the default extensions to your rounding account(s) or select appropriate account extensions. Press **Enter** to accept.

Euro Currency Maintenance Screen 2

Add the currencies for all countries that you trade with which are classified as IN in a Euro situation.

Add the period and date when each currency joins the Euro zone. Prior to this date the currency is considered as OUT.



Note: Euro IN currencies are entered here irrespective of your entries on the previous screen.



Press **Enter** at the first Euro Currency Maintenance Screen.

GL803		FF:Eurocurrency Test Company(GBP4)		USER	GBJBA1MS	27/05/98
						11:07:42
Euro Currency Maintenance						
1	Code	Description	Period	Date		
			Joined	Joined		
-	BEF	Belgian Florins	9901	010199		
-	DEM	Deutschemark	9901	010199		
-	ESC	Portuguese Escudos	9901	010199		
-	ESP	Spanish Pesetas	9901	010199		
-	FRF	French Francs	9901	010199		
-	IRP	Irish Punts	9901	010199		
-	ITL	Italian Lire	9901	010199		
-	NFL	Dutch Florins	9901	010199		
Code to maintain, add or delete						
1=Select						
F3=Exit		F4=Prompt		F12=Previous		
MA a						21/004

Fields:

Select

1 - Select the currency and amend the period and date joined.

Code to Maintain Add or Delete

Enter a currency that has joined or will join the Euro zone. The currency code entered must already exist on the currency file.

The currency description displays.



Note: You cannot enter the Euro as a currency on this screen.

Period Joined

Enter the period in your financial year when the selected currency will join.

Date Joined

Enter the actual joining date for the selected currency. It is not until this date arrives that the currency is considered to be an IN currency.



When you have added or amended the IN currencies, select **F12=Previous** to return to the selection screen or **F3=Exit** to exit the option.

Rate Codes Enquiry



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Select to enquire on the rate code from a date or period.



Select the currency option Rates Code Enquiry,
for the following.

Fields:

Rate Code

Enter the name of the rate code on which you want to perform your enquiry.

Effectivity Start Date Or Period

Enter the date or period from when you want the enquiry to start.



Press **Enter** to go to the next screen, which
displays a list of rate codes indicating how the
rate codes have been set up for different
currencies from one period to another.

Rate Codes/Rates Report

1... 41/GLX 2...

Select a detailed or summary report for a range of codes, dates, periods.



Select the currency option Rate Codes/Rates Report option.

GL830	V9 - Education Company - V9	USER FFV9	22/06/95 12:47:21
Currency Rate Codes Report			
Do you require a detailed report..(1/0) @			
Currency Rate Code Range To			
Do you require currency history..(1/0) @			
Effectivity Date Range 0/00/00 To 0/00/00			
Effectivity Period Range..... To			
F3=Exit			
05-41	SP	ML	KS IM II EDN400A PCET0283

Fields:

Detailed Report

0 - Summary report. This simply lists the rate codes in use, with no exchange rate details.

1 - Detailed report. This lists all exchange rates set up for the required rate codes and dates.

Currency Rate Code Range

Enter the range of rate codes from and to which you want to see on the report.

To obtain a report for a single rate code enter the code in both fields.

Leave both fields blank to obtain a report for all rate codes.

Currency History?

0 - If you require current rates only.

1 - If you require a currency history.

Effectivity Date Range

You should enter an effectivity date range to limit the currency history to that range. If the field is left blank, the entire history will be reported. This will apply only to date based rate codes.

Effectivity Period Range

You should enter an effectivity period range to limit the currency history to that range. If the field is left blank, the entire history will be reported. This will apply only to period based rate codes.



Once you have entered the parameters, press **Enter** to submit a batch job to produce the report.

Currencies Report



42/GLX



Select the Currency Report option to run the report and press **F8=Submit** to submit a batch job.

The report will show a list of the currencies you have set up on the system, detailing the following information for each one:

- Currency code.
- Description.
- Short description.
- Number of decimal places.
- Movement tolerance.

Revaluation Report



43/GLX

Currency exchange rate fluctuations result in AR and AP items and Bank and GL (Balance Sheet) account balances having a different base value from that calculated when they were first created.

This procedure enables you to recalculate the current base equivalent value of prime currency open items and prime currency balances and, if required, post exchange variances to the defined currency gain and loss accounts.

- Accounts Payable and Accounts Receivable variances are posted to the unrealised gain/loss accounts, with a compensating entry against the unrealised contra account.
- Bank account variances are posted to the realised gain/loss accounts.
- GL Balance Sheet account balance variances are posted to the realised gain/loss accounts.

You may also request a report only, in which case no GL postings will be made.

Revaluation Procedure

You can revalue one or more applications for one or all currencies. If you select to report only, no General Ledger postings will be made.

If a rate code is specified, and no appropriate exchange rate can be found for a currency against that rate code, an error line is printed for each item that would otherwise be eligible for revaluation.

Euro

If the Currency being revalued is in a Euro situation, the exchange rates will be fixed. No gains or losses will arise for Accounts Receivable and Accounts Payable transactions posted after the currency joined the Euro. Similarly, for General Ledger and Cash Management balances, if the prime and base currency balances are in a Euro situation, no realised gains and losses will arise after the joining date.

Where items or prime currency balances existed on the ledgers prior to the IN currency's date of joining the Euro, running the revaluation routines may result in gains/losses being calculated. Such gains/losses should be crystallised at the date of joining and taken as realised, or a reserve established.

All Applications

If ledger postings are required, the following processes are common to all applications.

- An initial check confirms that default gain and loss's accounts have been set up. If not, an error message is printed on the report and the procedure is terminated.
- Separate journals are created for each:
 - Accounts Receivable company/currency combination - but otherwise summarised
 - Accounts Payable company/currency combination - but otherwise summarised
 - Cash Management company/currency combination - with separate lines per bank account
 - General Ledger company/currency combination - with separate lines per account
- The journal type is RV to distinguish it from other journal types..
- As it is possible to run the revaluation job, whether the exchange rate has changed or not, a check is made that journals are created only when an exchange variance has been calculated.
- In Accounts Payable and Receivable, any unrealised revaluation journal posted previously is reversed, and a new journal is created for the new variance.
- General Ledger revaluation is different as the original posting account balance has the difference (either a realised gain or loss) posted directly to it, with a contra posting to the realised gain or loss accounts. Consequently, the next revaluation routine does not reverse out the previously posted journal but posts a new additional journal for the new variance.

- Revaluation journals are written in base value only. The appropriate currency code is, however, held on the journal details, together with the period number (effectivity date).

Accounts Payable and Receivable Revaluation

Processing routines for revaluation in both Accounts Payable and Accounts Receivable are similar.

The revaluation flag must be set to active in the Accounts Payable and Accounts Receivable company profiles.



Note: In Accounts Payable all log items are ignored, as they are not yet reflected in the General Ledger. However, the log items can be included in the revaluation report if selected on the Currency Revaluation screen.

For each selected AR/AP company, all open items in the selected currencies are revalued. Gains and losses are unrealised.

If the Currency being revalued is in a Euro situation no unrealised gains and losses will arise, unless the transactions existed on the ledger prior to the Euro joining date of the IN currencies.

The processes unique to Accounts Payable are as follows:

- Calculate the new revalued base currency amount from each outstanding item balance in the Transaction currency, using the appropriate exchange rate. Print a line on the report.
- Calculate the previous unrealised gain or loss and the new unrealised gain or loss and accumulate these gains and losses separately.
- On change of currency, write the journal details by reversing the values (if any) previously posted to the unrealised gain, and loss accounts. New journals reflect the new gains and losses values and the net difference is posted to the unrealised contra account.
- The revalued base values on the Accounts Receivable/Payable period and account summary records are adjusted accordingly.

Bank Account Revaluation

For each selected Cash Management company, and for all selected currencies, all bank account balances are revalued. Gains and losses are realised.

- Calculate the new revalued value as the balance in the bank currency at the appropriate exchange rate. Calculate the variance as new value minus the previous value. Print a line on the report.
- After all bank accounts have been processed, General Ledger journals are created (with a separate journal for each Cash Management company/currency combination). The variance is posted to the bank account, with the contra value posted to the realised gain or loss account.

General Ledger Account Revaluation

For each selected General Ledger company, and for all selected currencies, all GL account prime currency balances are revalued. Gains and losses are realised.



Note: For revaluation to be active for a GL account, the prime currency balances and the revaluation field settings in the GL account record must both be set to 1.

- Calculate the new base value as the balance in the each prime currency held against the account, at the appropriate exchange rate. Calculate the variance as new value minus the previous value. Print a line on the report, for each account and each currency converted.
- After all GL accounts have been processed, General Ledger journals are created (with a separate journal for each GL company/currency combination). The variance is posted to the revalued GL account, with the contra value posted to the realised gain or loss account.

Currency Revaluation Selection Screen

The report will show the results of the revaluation for each application, company and currency. For each such combination and for each account it will print:

Balance in original currency	21,200.00
Original or previously revalued Base equivalent	4,550.00
Latest revalued Base equivalent	5,150.00
The gain or loss	600.00

A summary is printed for each combination, with the total gains, total losses and a General Ledger reference if it is required. For unrealised gains and losses the details of the reversing journal are also printed.



Select the Currency Revaluation Report option to run the report and display a selection screen.
You must enter at least one application.

```

_GL418                Z1 - UK Demonstration Company    USER GBJBA1MS    16/06/98
                                                14:02:25

Currency Revaluation

Sales Ledgers . . . . . : 1                (0=No, 1=Yes)
Sales Ledger company . . . : Z1            (Leave blank for all)

Purchase Ledgers . . . . . : 0                (0=No, 1=Yes)
Purchase Ledger company . . :              (Leave blank for all)
Include log items? . . . . . : 0            (0=No, 1=Yes (but not for update))

Bank accounts . . . . . : 0                (0=No, 1=Yes)
Cash Book company . . . . . :              (Leave blank for all)

General Ledger . . . . . : 0                (0=No, 1=Yes)

Currency code . . . . . ? DEM
Rate code . . . . . ?
OR Rate . . . . . : 2.86701 M (M=Multiply, D=Divide)

Report only or update too? : 0            (0=Report only, 1=Report and update)
Document date. . . . . : 16/06/98

F3=Exit    F8=Submit
MA a                                             01/001
  
```

Fields:

Accounts Receivable (Sales Ledgers)

1 - To revalue one or more of the Accounts Receivable item balances. Otherwise leave blank.

Accounts Receivable Company (Sales Ledger Company)

Leave blank for all eligible AR companies, linked to the GL company to be included.
Enter a company code to limit revaluation to that company.

Accounts Payable (Purchase Ledger)

1 - To revalue Accounts Payable (Purchase Ledger) item balances. Otherwise leave blank.

Accounts Payable Company (Purchase Ledger Company)

Leave this field blank for all AP eligible companies linked to the GL company to be included

Enter a company code to limit revaluation to that company.

Include Log Items

0 - log items are excluded in the currency revaluation procedure.

1 - Log items are to be included in the currency revaluation.



Note: All gains and losses will be posted to the specified unrealised gain and loss accounts of the appropriate company, with an equal and opposite net value posted to the unrealised contra account.

Bank Accounts

0 - Bank accounts for one or more of the Cash Management companies dependent on this General Ledger company should be excluded from the revaluation run.

1 - Bank accounts for one or more of the Cash Management companies dependent on this General Ledger company should be included in the revaluation run

Collection Documents

Outstanding collection documents held at an appropriate status in AR and AP will be included in the currency revaluation procedure, when the AR and AP and CS options are selected.

Cash Management Company

Enter the name of the particular Cash Management (cash book) company whose bank accounts or collection documents you want to revalue.

Leave the field blank to revalue bank accounts or collection documents for all dependent companies.



Note: Bank account gains and losses will be posted to the realised gain and loss accounts for the appropriate Cash Management company, and the base value of each bank account will be adjusted.

General Ledger

0 - No GL accounts are to be included in the revaluation.

1 - Include GL accounts, available for revaluation, in the run.

Currency Code

Enter the currency code of the currency to be revalued, or leave blank for all currencies.

Rate Code

Enter the rate code set up for the revaluation.

If you have requested all currencies for revaluation the rate code must be supplied.

Or:

Rate

Enter the rate at which the revaluation is to be calculated. A single currency code must also be entered.

If you have requested all currencies for revaluation a rate code must be supplied and the rate left blank.



Note: Only the variable part of the rate (that is Euro to OUT (Multiplied) or OUT to Euro (Divide)) should be entered if the source/target currencies are OUT/IN or IN/OUT. If both source and target currencies are INs, any rate entered here will be ignored.



Note: For guidance on when to select Multiply or Divide in a Euro IN/OUT OUT/IN situation see the section Eurocurrency: Phase 1: Illustration Of Conversions.

Multiply Or Divide

The rate entered should be expressed as a conversion factor and a modifier.

M - To multiply.

D - To divide.

For example, the rate to convert £1.00 into \$1.35 the modifier might be either M 1.350 or D 0.74074.



Note: For Euro conversion the system holds Euro/IN currency fixed rates.



Note: For guidance on when to select Multiply or Divide in a Euro IN/OUT OUT/IN situation see the section Eurocurrency: Phase 1: Illustration Of Conversions.

Report Only Or Update Too?

0 - To print the report without posting variances.

1 - To print the report and also post GL journals for the variances.

Document Date

This is the GL Document date for revaluation postings.

Euro. Where a periodic rate code is used in conjunction with

- a single currency (or all currencies), or where
- a single currency is entered with an override rate (multiply or divide),

this date is used to determine whether the currencies included in the revaluation are IN or OUT of the Euro zone.

The document date is compared with the Euro joining date for IN currencies and the fixed exchange rate to the Euro is used.



*Note: For a revaluation run where a date-based rate code is used in conjunction with a single currency or all currencies, the document date is not used to determine whether the currencies are IN or OUT. In this situation the Effective Date (displayed when **Enter** is pressed after setting the required parameters on the revaluation selection screen) is used for this purpose.*

Accounting Calendar. The document date is also used to derive the GL posting period by referring to the GL calendar.

- If the accounting calendar is active revaluation journals will be posted to the calendar period containing the document date.
- If the accounting calendar is not active, the postings will be made to the current GL period.

The following fields are conditional and only displayed after setting the required parameters on the Revaluation selection screen and pressing **Enter**.

Effective Date:

This field is displayed when a date-based Rate code has been selected. This date is used to determine whether the currencies included in the revaluation are IN or OUT of the Euro zone. It is also used to retrieve the exchange rates prevailing for the selected rate code at that date.

Effective Period:

This field is displayed when a period-based Rate code has been selected. It is used to retrieve the exchange rates prevailing for the selected rate code as at that period.

No unrealised gains and losses will arise in a Euro situation where the transactions in the IN currencies have been posted to the ledgers after the Euro zone joining date. That is, at the fixed exchange rates.



Press **Enter** to validate the selection parameters, and display the Effectivity Date or period, where relevant. If the displayed information is acceptable, press **F8=Update** to submit a batch job to carry out the revaluation procedure.

Reset Unrealised Gain/Loss Utility

This utility option is designed to be run if a processing malfunction occurs. It will reset any AR and AP revalued records back to the original base value. Bank account and GL account revaluations will be unaffected by this utility. For more information see the miscellaneous utility option Re-Set Unrealised Gains And Losses.